

SUBSTITUTE FOR
HOUSE BILL NO. 5782

A bill to amend 2003 PA 215, entitled
"Credit union act,"
by amending section 387 (MCL 490.387).

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 Sec. 387. (1) A domestic credit union that is not a corporate
2 credit union shall apply for and maintain insurance of ~~member~~**its**
3 share ~~accounts~~ and ~~member~~ deposit accounts from ~~an agency of the~~
4 ~~federal government that provides that insurance.~~**a federal agency**
5 **authorized to insure share and deposit accounts or from a qualified**
6 **private insurance organization.**

7 (2) A credit union that is denied a commitment for insurance
8 of its share and deposit accounts by ~~the~~**an** insuring federal agency
9 **or qualified private insurance organization**, or that is given



1 notice by ~~the~~**an** insuring federal agency **or qualified private**
 2 **insurance organization** of the ~~agency's insurer's~~ intent to
 3 terminate insurance of the credit union's shares and deposits,
 4 shall either dissolve, merge with another credit union that is
 5 insured ~~by an agency of the federal government,~~ **in accordance with**
 6 **subsection (1)**, or apply in writing to the ~~commissioner within~~
 7 **director not later than** 30 days after the denial or notice for
 8 additional time to obtain an insurance commitment.

9 (3) The ~~commissioner~~**director** shall grant a credit union
 10 described in subsection (2) 1 or more additional periods of time to
 11 obtain or reinstate an insurance commitment if the ~~commissioner~~
 12 **director** receives satisfactory evidence that the credit union has
 13 made or is making a substantial effort to meet the conditions
 14 required by ~~the~~**an** insuring federal agency **or qualified private**
 15 **insurance organization** for issuance of an insurance commitment.

16 (4) A credit union may contract with an insurance carrier
 17 licensed to do business in this state for insurance of the balances
 18 of its accounts that exceed the amount insured by ~~the~~**an** insuring
 19 federal agency **or qualified private insurance organization**.

20 (5) **An insurance carrier that is licensed to do business in**
 21 **this state may submit an application to the department for**
 22 **authorization to provide insurance under this section as a**
 23 **qualified private insurance organization. The application must be**
 24 **on a form prescribed by the director. The director shall develop**
 25 **and implement the form of application and the standards for**
 26 **authorization under this subsection.**

27 (6) **The director may deny or revoke an insurance carrier's**
 28 **authorization as a qualified private insurance organization if the**
 29 **director finds that the insurance carrier lacks the resources,**



1 governance, or management to adequately protect the share and
2 deposit accounts of credit unions.

3 (7) A credit union that converts to primary share or deposit
4 insurance from a qualified private insurance organization must
5 comply with state and federal law applicable to the conversion and
6 must provide notice to the credit union's members as required under
7 section 43 of the federal deposit insurance act, 12 USC 1831t, and
8 12 CFR part 708b.

9 (8) As used in this section:

10 (a) "Primary share or deposit insurance" means insurance of a
11 share or deposit account of a credit union up to the same amount
12 that is insurable by a federal agency authorized to insure share
13 and deposit accounts.

14 (b) "Qualified private insurance organization" means an
15 insurance carrier that is licensed to do business in this state and
16 is authorized by the director to provide primary share or deposit
17 insurance under this section.

18 Enacting section 1. This amendatory act does not take effect
19 unless all of the following bills of the 103rd Legislature are
20 enacted into law:

21 (a) House Bill No. 5779.

22 (b) House Bill No. 5780.

23 (c) House Bill No. 5781.

24 (d) House Bill No. 5783.

